

Pricing for B2C

Week 3 Lecture 1 | B2C to \$10k MRR

Autumn 2026

What we will cover

- Free vs freemium vs paid vs hybrid: one tradeoff each
- Anchor pricing and the \$9.99 myth
- Annual vs monthly: cashflow and churn tradeoffs
- Purchasing power parity (PPP) discounts
- The first re-price: Tony Dinh and Pieter Levels in their own words

Model choice

Four models, four tradeoffs

- **Free:** maximum reach, zero revenue, must monetize attention later
- **Freemium:** lower conversion barrier, but two-thirds of free users never upgrade (Paddle / ProfitWell, 2022)
- **One-time paid:** simple LTV math; no recurring relationship to manage
- **Subscription:** predictable MRR, but churn compounds against you monthly

Pick the model whose tradeoff you can survive, not the one that sounds best.

The RevenueCat day-35 benchmark

Hard paywall apps convert at **12.11%** by day 35.

Freemium apps: **2.18%** by day 35.

(RevenueCat, State of Subscription Apps 2025, 115,000+ apps)

This does not mean always use a hard paywall. It means: if you choose freemium, know what you are trading away.

Tony Dinh's rule

"If there are no recurring costs to maintain the software, I don't charge customers recurring costs."

Tony Dinh, "My solopreneur story: zero to \$45K/mo in 2 years" (Indie Hackers, 2023)

DevUtils: one-time \$9. No server. No recurring cost. No subscription.

Black Magic: Twitter data pipeline. Server costs monthly. Monthly subscription.

The rule is simple. Apply it to your product.

Anchor pricing

What an anchor is

An anchor is the first number a buyer sees before they see your price.

If a user sees \$199/year crossed out, then \$99/year, they evaluate \$99 against \$199, not against zero.

Pieter Levels used the same logic on Nomad List: pricing based on perceived user value, not cost to run the service. (Indie Hackers podcast #43, 2018)

The \$9.99 myth

\$9.99 does not outperform \$10 because of the left digit alone.

It outperforms when:

- The category has trained users to expect \$X.99 price points
- The \$10 barrier triggers a mental category shift ("this is a serious purchase")

For most B2C indie products: test \$9 vs \$10 only if you have enough volume to read the result. Until then, pick a round number you can say out loud without flinching.

Annual vs monthly

	Annual	Monthly
Cashflow	Front-loads revenue	Smooth but smaller
Churn	Lower (commitment effect)	Higher (easy to cancel)
LTV visibility	Clearer at signup	Requires 12+ months of data

RevenueCat year-1 retention: yearly plans 44.1%, monthly 17%, weekly 3.4%.

Recommendation: offer both. Price annual at ~10 months of monthly to make the math obvious.

PPP pricing

What purchasing power parity means in practice

A \$12/month price is 3 hours of work in San Francisco. It is 12 hours of work in Lagos.

PPP discounts adjust your price by the ratio of local purchasing power to US purchasing power, usually derived from World Bank or OECD data.

Sebastien Castiel implemented PPP on his React hooks course and documented 20-50% revenue gains from emerging markets that previously bounced on price. (scastiel.dev, 2021)

PPP in five steps

1. Use an IP-geolocation API to detect the user's country at checkout.
 2. Map country to a PPP factor (World Bank GNI per capita ratio works).
 3. Apply a discount band: 20%, 40%, or 60%. Not a smooth curve: too complex.
 4. Cap: never go below your marginal hosting cost per user.
 5. Anti-abuse: one purchase per IP or device, flag bulk purchasing patterns.
- Implementation takes one afternoon in Stripe with a discount code or a custom price lookup.

Take-aways

1. Model choice is a tradeoff decision, not a best-practice decision. State the tradeoff you are accepting.
2. Hard paywall apps convert at 12.11% vs freemium at 2.18% by day 35 (RevenueCat, 2025).
3. Anchor pricing works because buyers evaluate relative to the first number they see, not against zero.
4. Annual subscriptions retain at 44.1% vs 17% for monthly at year one.
5. PPP discounts unlock revenue from users who bounce only on price, not on intent.

"What I learned in business school is that the price is not about the cost."

Pieter Levels, Indie Hackers podcast #43, 2018

What is next

- **Reading:** Week 3 reading at </c/b2c-10k-mrr-26au/readings/wk03> (RevenueCat benchmark data and the Tony Dinh case study)
- **Lecture 2:** Paywall design: hard vs soft vs metered, placement, and trial mechanics
- **Section:** Pricing experiment: write your 1-page brief, critique two peers, commit to one change